

PROJECT

PEGASUS

Executive Teaser

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September 2021

Transaction Overview

Company	Stride & Co.
Sector	Consumer — Premium DTC Activewear
HQ / Founded	Los Angeles, CA / 2016
Advisor	Houlihan Lokey (Exclusive)
LTM Revenue	\$78M
LTM Adj. EBITDA	\$6.5M (8.3% margin)
Revenue Growth	+32% YoY (LTM)
Asking EV	~\$130M (1.7x LTM Revenue / 20x Adj. EBITDA)

Stride & Co. at a Glance

Overview and key operating metrics

Stride & Co. ("Stride" or the "Company") is a purpose-driven premium activewear brand offering performance apparel made from sustainably-sourced and recycled materials. Founded in 2016 by former Lululemon design executives, the Company has built a loyal community of health-conscious consumers through a digital-first brand strategy and an in-app membership program — Stride Studio™ — that combines workout content, style guidance, and early product access. Stride has grown from \$8M in FY2017 to \$78M LTM with no outside capital beyond its 2019 Series B.

Founded

2016

Employees

~210

Studio Members

~62K

HQ

Los Angeles, CA

Avg. Order Value

\$148

Countries

US, CA, UK

LTM Revenue

\$78M

LTM Adj. EBITDA

\$6.5M

YoY Revenue Growth

+32%

NPS Score

82

Why Stride — Six Investment Highlights

01

High-velocity DTC brand with best-in-class community engagement

415K active customers (purchased in trailing 12 months); 82 NPS — highest in activewear per Qualtrics 2021 · Stride Studio membership (62K members, \$29/mo) drives 115% NRR; members purchase 3.8x more than non-members · Instagram following of 1.8M with 4.2% engagement rate — 3x industry benchmark for apparel brands

02

Differentiated sustainable product platform with pricing power

100% recycled or sustainably-sourced materials across core collection since 2020 · Legging ASP of \$128 — premium to Lululemon (\$98) and Athleta (\$89) core SKUs · 10 product drops per year; avg. sell-through of 94% within 30 days — almost zero end-of-season markdown

03

Capital-light model with attractive unit economics

Asset-light: design and marketing in-house; manufacturing fully outsourced to 3 certified B Corp factories · Blended gross margin 56.2% LTM — expanding from 48.1% in FY2018 as mix shifts to direct DTC · DTC CAC of \$38 (organic-heavy strategy); LTV of \$680 (avg. 3.5-year relationship, 4.6 orders/yr)

04

Rapidly growing Studio membership creates durable recurring revenue

Stride Studio launched Q1 2020; 62K members growing ~8K/quarter; \$21.7M ARR · Members receive exclusive early access, virtual coaching sessions, and personalized styling · Membership churn <12% annually — below benchmarks for consumer subscription products

05

Significant whitespace in international and product adjacencies

International (UK/CA) represents <11% of revenue — addressable premium activewear market ex-US is \$28B · Men's line launched Q2 2021 tracking to \$7M annualized — expected to reach 20% of revenue by FY2023 · Footwear (performance sneaker) in development; brand equity research shows 78% purchase intent among existing customers

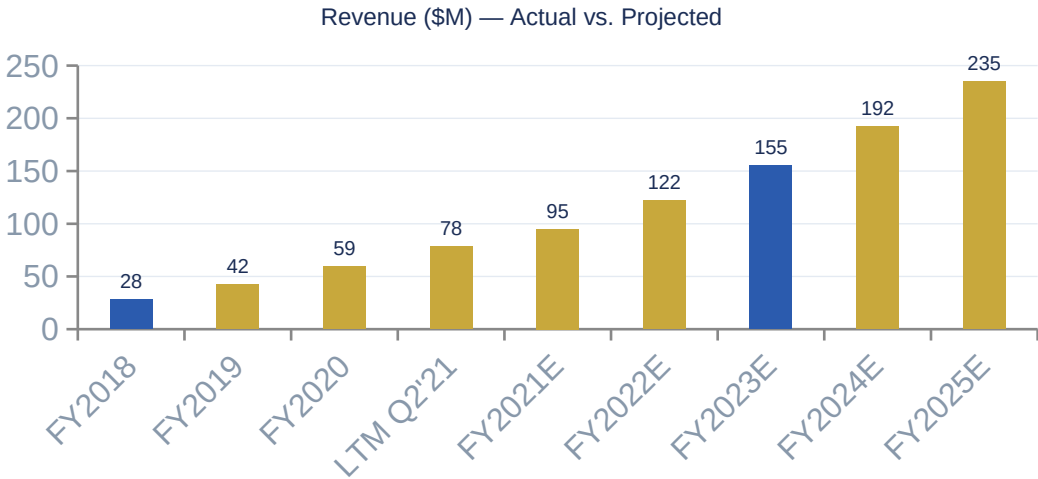
06

Proven leadership team — founders with deep activewear DNA

CEO Amanda Reyes: former VP Design at Lululemon (8 yrs); COO James Okoro: ex-Patagonia SVP Operations · Head of Brand: 12 years at Nike digital; Head of Tech: built Peloton's e-commerce platform · Management team owns 71% of the business on a fully diluted basis — highly aligned with outcome

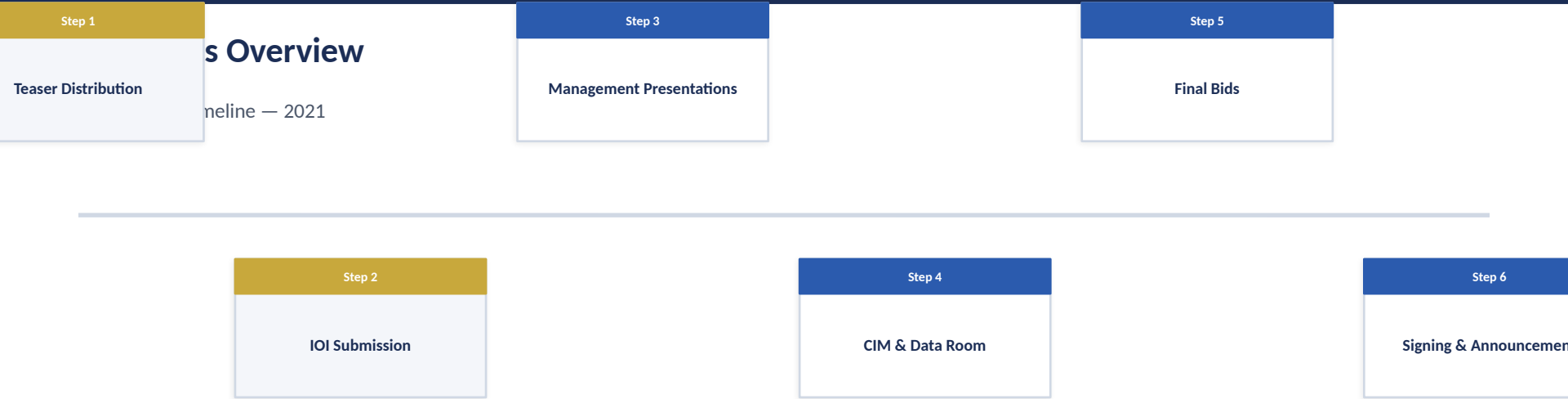
Financial Performance

Historical results and management projections (\$ in millions)



(\$M)	FY2018	FY2019	FY2020	LTM Q2'21	FY2025E
Revenue	28.0	42.1	59.2	78.4	
YoY Growth	—	+50.4%	+40.6%	+32.2%	
Adj. EBITDA	1.5	3.5	5.2	6.5	
EBITDA Margin %	5.4%	8.3%	8.8%	8.3%	
Revenue	95	122			
Adj. EBITDA	10	17			
EBITDA Margin %	10.5%	13.9%			

E = Management projections; not independently verified by Houlihan Lokey.



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